

**Before the
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-09

Impact Products, LLC and Safety Zone, LLC v. COSCO Shipping Lines Co., Ltd.

**RESPONDENT’S REPLY TO COMPLAINANTS’ RESPONSE
TO RESPONDENT’S MOTION TO DISMISS**

On March 11, 2024, COSCO Shipping Lines Co., Ltd. (“COSCO” or “Respondent”) filed its motion to dismiss the instant Complaint insofar as it seeks reparations (“Motion”), on the grounds that Complainants were not direct purchasers from COSCO and so, under longstanding Federal Maritime Commission precedent, lack standing to seek reparations.

Complainants filed their response on March 26, 2024 (“Response”). As demonstrated below, Complainants’ Response is disingenuous at best and in any event without merit.

Complainants admit that they did not pay anything at all to COSCO, acknowledging that the charges at issue (“Charges”) were invoiced to Complainants by, and (allegedly) paid by Complainants to their bill of lading carrier (the NVOCC Laufer). Response, p. 2. At the same time, however, Complainants assert that they sufficiently pleaded that they were in fact direct purchasers. Response, p. 4. Either the word “direct” has been rendered meaningless, or one of those two statements necessarily must be false.

Although we understand the concept of pleading in the alternative, Complainants have not suggested any alternatives, but rather, have posited the simultaneous existence of mutually incompatible facts, which, like matter and antimatter, cannot coexist in the same place. Cognitive

dissonance aside, the FMC Rules do not allow counsel to plead an alleged fact that counsel knows to be untrue or has not sufficiently verified. 46 C.F.R. 502(6) (counsel's signature constitutes a verification "that to the best of the signer's knowledge, information, and belief formed after reasonable inquiry, the filing is well grounded in fact"). Furthermore, we very much doubt that the FMC Rules contemplate allowing a complainant to insulate itself from a motion to dismiss or motion for judgment on the pleadings by obfuscating the facts – that is, by using vague terms that it can say mean whatever it wants. Even if that were possible in the first instance, once challenged the complainant should be obligated to clarify.¹

Having thus distorted the facts, Complainants next distort the law, arguing that an "indirect purchaser" is nevertheless a "direct purchaser" if it says so. This entirely misstates the case law. Most importantly, Complainants grossly misrepresent the holding in *Government of Guam* ("*Gov't of Guam*") (in which one of COSCO's counsel participated), stating that it was no more than a failed attempt by the Government of Guam to assert *parens patriae*. Response, p. 6. In order to do so, Complainants completely ignore the decision to which COSCO actually cited – the full Commission's decision reported at 29 S.R.R. 894 (FMC 2002) – and instead, point to a totally different, wholly irrelevant Administrative Law Judge's order issued 12 years earlier, 25 S.R.R. 842 (ALJ 1990).

¹ As Lewis Carroll relevantly wrote:

“‘When I use a word’, Humpty Dumpty said in rather a scornful tone, ‘it means just what I choose it to mean — neither more nor less.’

‘The question is,’ said Alice, ‘whether you can make words mean so many different things.’

‘The question is,’ said Humpty Dumpty, ‘which is to be master — that’s all.’”

Lewis Carroll, *Through the Looking Glass* (1865).

The Commission decision in *Gov't of Guam* addresses a situation directly analogous to the instant matter and, by itself, puts paid Complainant's fallacious claim that it became a direct purchaser by repaying the entity that actually paid COSCO in the first instance. In that case, consignees located on Guam asserted that they repaid the mainland shippers who actually paid the ocean freight directly to the ocean carriers and argued that they should accordingly be treated as direct purchasers for purposes of collecting reparations for overcharges. As noted in the Motion, but ignored by Complainants, the Commission specifically ruled that only the mainland shippers that directly paid the carriers – and not the Guam consignees who paid the shippers – could seek reparations. *Id.* at 908-09.

Complainants also ignore other cases cited by COSCO to the same effect.. Among the many cases omitted by Complainant are *Oakland Motor Car Co. v. Great Lakes Transit Corp.*, 1 U.S.S.B.B. 308, 310-311 (1934); *Sanrio, Inc. v. Maersk Line*, 19 S.R.R. 907 (ALJ Admin. Final 1979); *California Cartage Co. v. Pacific Maritime Association*, 23 S.R.R. 420, 427 (FMC 1985); *Trane Co. v. South African Marine*, 19 FMC 375, 378, n.9 & accompanying text (Init. Dec., adopted 1976) (claim for reparations brought by shipper where bills of lading indicated consignee responsible for payment); *Carton-Print, Inc. v. Austasia Container Express*, 20 FMC 31, 34 (Init. Dec., Admin. Final 1977) (to have standing to seek reparations, Complainant must show he has paid the charges) ; *3M v. Hapag-Lloyd*, 20 S.R.R. 1020, 1021 n.3 (FMC 1981) (Complainant had no standing to seek reparations for charges it had not paid); *FMC Corp. v. Argentine Line*, 19 S.R.R. 1940, 1491 (Settle. Off. 1980); *Procter & Gamble Mfg. Co. v Lykes Bros. SS. Co.*, 25 S.R.R. 1370, 1371 (Settle. Off. 1991).

Of particular note from the above list is *Sanrio*. In *Sanrio*, in a decision adopted by the FMC, the Presiding Officer explained:

“While any person may file a complaint under [the Shipping Act] alleging a violation of the Act, the law in complaint cases ...is that the person who paid the freight to the carrier has standing to recover reparation for injury, not a secondary party, *even if the latter party ultimately bore the cost...*”

Sanrio, 19 S.R.R. at 907 (emphasis added). Accordingly, the Presiding Officer held, as the Commission did in *Gov’t of Guam*, that a consignee could not seek reparations where the shipper paid the ocean freight to the ocean carrier, even if the consignee had repaid the shipper.

Instead of addressing those FMC cases, Complainants try to reinvent *Illinois Brick*. But even if *Illinois Brick* meant what Complainants claim, which it does not, that would not assist them here. As discussed in the Motion and obscured by Complainants, the Commission in *Gov’t of Guam* specifically held that a party that repaid the direct purchaser did **not** qualify as a direct purchaser. (*See supra*). Likewise, in other cases cited by Respondent but omitted by Complainants, the FMC has rejected claims of direct purchase based on repayment of others.²

Complainants next seek to distinguish *Illinois Brick*. But their attempted distinctions are meaningless in light of the Commission precedent. They also make no difference.

Complainants first assert that there is no risk of COSCO suffering double damages. But that is patently untrue. The entities that paid COSCO directly would have every right (indeed, the *only* right) to file complaints and seek reparations against COSCO, as, to the extent that there were any improper charges, they would be the parties that suffered direct injury.

² Complainants inexplicably cite to *Mediterranean Shipping Company – Investigation for Compliance with §§ 41103(a) and 41102 of Demurrage or Detention Charges Under the Charge Complaint Procedures of 46 U.S.C. § 41310*, Docket No. CC-001, (FMC Sept. 29, 2023) for the proposition that indirect purchasers may seek reparations. But that case **did not involve reparations**, but rather was an **enforcement action by the FMC** under a new form of seeking redress created by the Ocean Shipping Reform Act of 2022 and not at issue here. It is thus entirely inapt.

The evidentiary complexities that the Complainants elide are also significant. COSCO has no way to know what its direct purchaser charged the Complainants. There is no requirement in law that it be the same as what the NVOCC paid COSCO and, in fact, NVOCCs often add a markup or administrative fees.³ Moreover, as it would have been Laufer, possibly other intervening NVOCCs, or their truckers, who attempted to pick up cargo or to return empty containers, only Laufer/its agents (or possibly other intervening NVOCCs) know what efforts were made to pick up or return containers and what allegedly prevented them from doing so. Moreover, only they would have the screenshots or other documentation necessary to support the claims that pickup/return were not possible on particular days.

Indeed, it would be odd to hold that a third party with which the ocean carrier lacks any contractual privity could seek reparations from an ocean carrier for detention and demurrage charges when, as a matter of law, the ocean carrier is forbidden to seek payment for such charges from, or even bill them to, such third party. As the Commission recently explained, an ocean carrier may only bill those entities with which it is in contractual privity; meaning that it may bill the shipper and sometimes the consignee (if there is a contract outside the bill of lading), but may not bill or collect from other entities unless there is a specific contract by which such entities

³ Not alleged in the Complaint, Counsel for Complainants now asserts on brief that the COSCO charges to Laufer were passed on to Complainants without markup (Response at 6), but arguments of counsel are not evidence and does not in any event eliminate the possibility of ancillary charges that had the effect of a markup, *see, e.g., Santa Fe Discount Cruise Parking, Inc. v. The Board of Trustees of the Galveston Wharves*, 1 F.M.C. 2d 195, 245 (ALJ 2018); *Bimsha International v. Chief Cargo Services, Inc.*, 2011 WL 7144011 (ALJ 2011), affirmed, 32 S.R.R. 1861 (FMC 2013), and Counsel's arguments do not in any event eliminate the possibility of ancillary charges that had the effect of a markup. And even apart from the issue of counsel arguments, the law is clear that complainants may not in their response to a motion dismiss add alleged facts not contained in the complaint itself. *Brandywine Commc'ns Techs., LLC v. T-Mobile USA, Inc.*, 904 F. Supp. 2d 1260, 1272, n.13 (M.D. Fla. 2012) (citing *Speaker v. U.S. Dep't of Health and Human Servs. Centers for Disease Control*, 623 F. 3d 1371, 1379 (11th Cir. 2010)).

voluntarily commit to pay such charges. Demurrage and Detention Billing Practices, 89 Fed. Reg. 14330, 14362 (Feb. 25, 2024)(to be codified at 46 C.F.R. 541.4).

Complainants next seek to hijack the law of agency to support their standing to seek reparations. They assert that an NVOCC acts as an agent for both the ocean carrier and the shipper. In no way does an NVOCC act as an agent of an ocean common carrier. Instead, as the Shipping Act and FMC regulations explicitly state, an NVOCC “is a shipper in its relationship with an ocean common carrier.”⁴ A shipper, of course, is a principal, not an agent, and purchases transportation services from the ocean carrier.

In making this mistaken claim, Complainants cite to dictum in *A.P. Moller-Maersk A/S v. Ocean Express Miami*, 550 F. Supp. 2d 454 (S.D.N.Y. 2008).⁵ But their representation of that case is wholly in error. . First, as previously shown, the court held that the intermediary at issue was **not** an agent of the carrier, see n.4, *supra*). Further, the intermediary involved in that case was a “freight forwarder,” **not** an NVOCC. Most importantly, the court held that the freight forwarder was an agent of the shipper **only for a very limited purpose** – binding the shipper to the forum selection clause of the ocean carrier’s booking note and bill of lading. In this respect, the court specifically recognized “a freight forwarder’s **limited** agency” and rejected the claim that the relationship between the cargo owner and the intermediary was “one of agent and principal for all purposes.” Nothing in the case suggests that an NVOCC pays the ocean carrier, or bills the shipper,

⁴ 46 U.S.C. 40102(17); 46 C.F.R. 515.2(m)(2). Indeed, the one case Complainants cite itself rejects Complainants’ assertion that an NVOCC acts as an agent of the ocean carrier. *Ocean Express Miami*, 550 F.Supp.2d at 466, quoting *Ins. Co. of N. Am. v. S/S Am. Argosy*, 732 F.2d 299, 301 (2d Cir.1984) (“[w]ith respect to the vessel . . . the NVOCC is an agent for the shipper, and thus merely a customer.”).

⁵ The discussion cited by Complainants is mere dictum because the court had already decided the issue on other grounds – namely that the shipper there had accepted the bill of lading by suing on it. *See id.* at 530.

as an agent of anyone. Indeed, in explaining its position on limited agency, the court specifically noted that such limited agency did not adversely affect the shipper, because it could always sue the intermediary. Accordingly, to the extent that Complainants have any argument about the Charges, it should necessarily be addressed to Laufer, not COSCO.

Finally, Complainants suggest that they may be able to obtain assignments of claims from Laufer. Although this may not be as easy as Complainants seem to think, OOCL recognizes that if Complainants obtain formal assignments for consideration from Laufer and present them to the Presiding Officer, they would, subject to check, have standing to seek reparations. That, of course, would cut off the current threat of double jeopardy. But the possibility that Complainants may, sometime in the future, obtain assignments is irrelevant to the situation today. As the cases cited by Complainants themselves show, an entity must obtain actual assignments and present them to the Presiding Officer (with service on Respondents) before proceeding to seek reparations. To do otherwise would raise the substantial prospect of the parties spending hundreds of thousands of dollars only to find out, at the end of the day, that the complainant had not managed to obtain assignments. Complainants have had ample opportunity to seek assignments prior to the commencement of this proceeding or at any time thereafter but have failed to do so. As a result, their Complaint is not underpinned by colorable claims for damages, but rather only by the conjecture that they might go acquire some in the future. This is not even remotely adequate to shield the Complaint from the instant Motion.

CONCLUSION

Accordingly, for the reasons stated in the original Motion and in this Reply, the Presiding Officer should dismiss the Complaint insofar as it seeks reparations.

DATED: April 2, 2024

Respectfully submitted,



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CERTIFICATE OF SERVICE

I certify that on this 2nd day of April, 2024, a true and correct copy of the foregoing **RESPONDENT’S REPLY TO COMPLAINANTS’ RESPONSE TO RESPONDENT’S MOTION TO DISMISS** was served by email on all counsel of record in accordance with 46 CFR Part 502 and the Commission’s Order of May 12, 2020.

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